LOCAL CONSUMER LENDING

Local Consumer Lending (LCL), which constituted approximately 65% of Citi Holdings by assets as of December 31, 2009, includes a portion of Citigroup's North American mortgage business, retail partner cards, Western European cards and retail banking, CitiFinancial North America, Primerica, Student Loan Corporation and other local consumer finance businesses globally. At December 31, 2009, *LCL* had $358 billion of assets ($317 billion in *North America*). About one-half of the assets in *LCL* as of December 31, 2009 consisted of U.S. mortgages in the company's CitiMortgage and CitiFinancial operations. The North American assets consist of residential mortgage loans, retail partner card loans, student loans, personal loans, auto loans, commercial real estate, and other consumer loans and assets.

In millions of dollars	**2009**	2008	2007	**% Change 2009 vs. 2008**	% Change 2008 vs. 2007
Net interest revenue	**$ 13,709**	$ 17,903	$18,166	**(23)%**	(1)%
Non-interest revenue	**5,473**	6,550	8,584	**(16)**	(24)
Total revenues, net of interest expense	**$ 19,182**	$ 24,453	$26,750	**(22)%**	(9)%
Total operating expenses	**$ 10,431**	$ 14,973	$11,457	**(30)%**	31%
Net credit losses	**$ 19,237**	$ 13,151	$ 6,794	**46%**	94%
Credit reserve build/(release)	**5,904**	8,592	5,454	**(31)**	58
Provision for benefits and claims	**1,055**	1,191	765	**(11)**	56
Provision for unfunded lending commitments	**3**	—	—	**—**	—
Provisions for loan losses and for benefits and claims	**$ 26,199**	$ 22,934	$13,013	**14%**	76%
Income (loss) from continuing operations before taxes	**$(17,448)**	$(13,454)	$ 2,280	**(30)%**	NM
Income taxes (benefits)	**(7,405)**	(5,200)	568	**(42)**	NM
Income (loss) from continuing operations	**$(10,043)**	$ (8,254)	$ 1,712	**(22)%**	NM
Net income attributable to noncontrolling interests	**32**	12	34	**NM**	(65)%
Net income (loss)	**$(10,075)**	$ (8,266)	$ 1,678	**(22)%**	NM
Average assets *(in billions of dollars)*	**$ 390**	$ 461	$ 496	**(15)**	(7)%
Net credit losses as a percentage of average loans	**5.91%**	3.56%	1.90%		

NM Not meaningful

2009 vs. 2008

Revenues, net of interest expense decreased 22% versus the prior year, mostly due to lower net interest revenue. *Net interest revenue* was 23% lower than the prior year, primarily due to lower balances, de-risking of the portfolio, and spread compression. *Net interest revenue* as a percentage of average loans decreased 63 basis points from the prior year, primarily due to the impact of higher delinquencies, interest write-offs, loan modification programs, higher FDIC charges and CARD Act implementation (in the latter part of 2009), partially offset by retail partner cards pricing actions. *LCL* results will continue to be impacted by the CARD Act. Citi currently estimates that the net impact on *LCL* revenues for 2010 could be a reduction of approximately $50 to $150 million. See also "*North America Regional Consumer Banking*" and "Managing Global Risk—Credit Risk" for additional information on the impact of the CARD Act to Citi's credit card businesses. Average loans decreased 12%, with *North America* down 11% and international down 19%. *Non-interest revenue* decreased $1.1 billion mostly driven by the impact of higher credit losses flowing through the securitization trusts.

Operating expenses declined 30% from the prior year, due to lower volumes and reductions from expense re-engineering actions, and the impact of goodwill write-offs of $3.0 billion in the fourth quarter of 2008, partially offset by higher other real estate owned and collection costs.

Provisions for loan losses and for benefits and claims increased 14% versus the prior year reflecting an increase in net credit losses of $6.1 billion, partially offset by lower reserve builds of $2.7 billion. Higher net credit losses were primarily driven by higher losses of $3.6 billion in residential real estate lending, $1.0 billion in retail partner cards, and $0.7 billion in international.

Assets decreased $58 billion versus the prior year, primarily driven by lower originations, wind-down of specific businesses, asset sales, divestitures, write-offs and higher loan loss reserve balances. Key divestitures in 2009 included the FI credit card business, Italy consumer finance, Diners Europe, Portugal cards, Norway consumer, and Diners Club North America.

2008 vs. 2007

Revenues, net of interest expense decreased 9% versus the prior year, mostly due to lower *Non-interest revenue*. *Net interest revenue* declined 1% versus the prior year. Average loans increased 3%; however, revenues declined, driven by lower balances, de-risking of the portfolio, and spread compression. *Non-interest revenue* decreased $2 billion, primarily due to the impact of securitization in retail partners cards and the mark-to-market on the mortgage servicing rights asset and related hedge in real estate lending.

Operating expenses increased 31%, driven by the impact of goodwill write-offs of $3.0 billion in the fourth quarter of 2008 and restructuring costs. Excluding one-time expenses, expenses were slightly higher due to increased volumes.